

# Escalation & Incident Response Playbook v2.0

XLVentures.AI | Customer Success Platform | Internal Use Only

## 1. Escalation Philosophy

At XLVentures.AI, we treat every escalation as an opportunity to demonstrate our commitment to customer success. Fast, transparent, and accountable escalation handling is a core differentiator.

Escalation does not signal failure - ignoring a customer's escalation signal does.

Every CSM is empowered to escalate any issue to engineering, product, or leadership without requiring manager approval. The only expectation is that the customer is kept informed at every step.

## 2. Incident Priority Classification

P1 - CRITICAL (Response: 2 hours, Resolution: 4 hours)

Definition: Platform completely unavailable, data loss occurring, API entirely non-functional, security breach.

Action: Immediate engineering escalation. CEO and VP Engineering notified. Customer updated every 30 minutes.

P2 - HIGH (Response: 4 hours, Resolution: 8 hours)

Definition: Core feature broken (reports not generating, login issues for multiple users, integration failure affecting operations).

Action: Senior engineer assigned. Customer updated every 2 hours. CSM must be present on resolution call.

P3 - MEDIUM (Response: 8 hours, Resolution: 48 hours)

Definition: Non-core feature broken, performance degradation, intermittent errors.

Action: Engineering ticket raised with high priority. Customer updated within 8 hours.

P4 - LOW (Response: 24 hours, Resolution: 7 days)

Definition: Minor UI bugs, feature requests, documentation errors.

Action: Standard engineering backlog. Customer notified of expected resolution timeline.

## 3. Rule E-01 - API Incident Response

Trigger: Customer reports that the XLVentures.AI API is failing or returning errors affecting their operations.

Immediate actions (within 2 hours):

1. Verify the issue: check API status dashboard and attempt to reproduce.
2. Classify priority: if customer operations are impacted, classify as minimum P2.
3. Escalate to engineering team with full details: error codes, customer ID, affected endpoints, timestamp.
4. Send acknowledgement email to customer within 2 hours: confirm receipt, share priority classification, commit to next update.
5. Update API status page if outage is confirmed.

Communication cadence during incident:

- P1: Customer update every 30 minutes.
- P2: Customer update every 2 hours.
- Updates must include: current status, steps taken, next expected update time.

Post-resolution (within 24 hours):

1. Send post-mortem summary to customer: root cause, fix applied, prevention measures.
2. Apply SLA credit automatically based on downtime duration.
3. Schedule a 15-minute debrief call if customer requests.

## 4. SLA Credit Policy

SLA credits are applied automatically when our uptime SLA is breached. Customers do not need to request credits.

Credit schedule (per billing cycle):

- 99.5-99.9% uptime achieved: No credit (within SLA)
- 99.0-99.49% uptime: 5% credit on monthly invoice
- 95.0-98.99% uptime: 10% credit on monthly invoice
- Below 95% uptime: 25% credit on monthly invoice

Maximum credit per billing cycle: 30 days of service.

Credits appear on the next invoice automatically. If a customer requests a cash refund instead of credit, Finance Manager approval is required.

## 5. Customer Escalation Handling - Emotional Customers

When a customer is upset or escalating emotionally, follow the HEAR framework:

H - Hear: Let the customer express their frustration fully without interrupting.

E - Empathize: Acknowledge their frustration explicitly. Example: 'I completely understand how disruptive this has been for your team and I take full responsibility for ensuring this gets resolved.'

A - Act: Tell them exactly what you are doing right now. Not what you will do later - what you are doing in this moment.

R - Resolve & Reconnect: After resolution, schedule a follow-up call within 48 hours to confirm the customer is satisfied and rebuild trust.

Never:

- Put an upset customer on hold without explaining why and for how long.
- Transfer an upset customer without a warm handoff.
- Send a template response to a P1 incident without personalization.

## 6. Escalation Path

Standard escalation path for customer-facing issues:

## CSM

- > Senior CSM (if issue unresolved in 24 hours or customer requests escalation)
- > Customer Success Lead (if unresolved in 48 hours or customer is Tier 1 account)
- > VP of Customer Success (if unresolved in 72 hours, renewal at risk, or customer mentions legal action)
- > CEO (if customer threatens public disclosure or legal action)

For technical issues:

## CSM

- > Engineering Support (Tier 1) - P3/P4 issues
- > Senior Engineer (Tier 2) - P2 issues
- > Engineering Lead + VP Engineering - P1 issues

CSMs must never tell customers that an issue is 'the engineering team's problem.' The CSM owns the customer relationship and is responsible for keeping the customer informed regardless of which internal team is working on the fix.

## 7. Post-Escalation Account Recovery

After any P1 or P2 incident, or any escalation involving emotional distress, the CSM must initiate an Account Recovery plan within 5 business days.

Recovery plan must include:

1. A written apology from the VP of Customer Success (template available on internal wiki).
2. An SLA credit or goodwill offer proportional to the impact.
3. A revised account health assessment.
4. A 30-day check-in schedule (weekly calls for 4 weeks).
5. An internal root cause review to prevent recurrence.

Accounts that receive a successful Account Recovery experience have a 68% higher renewal rate than accounts that received no recovery outreach (XLVentures.AI internal data, 2025).